

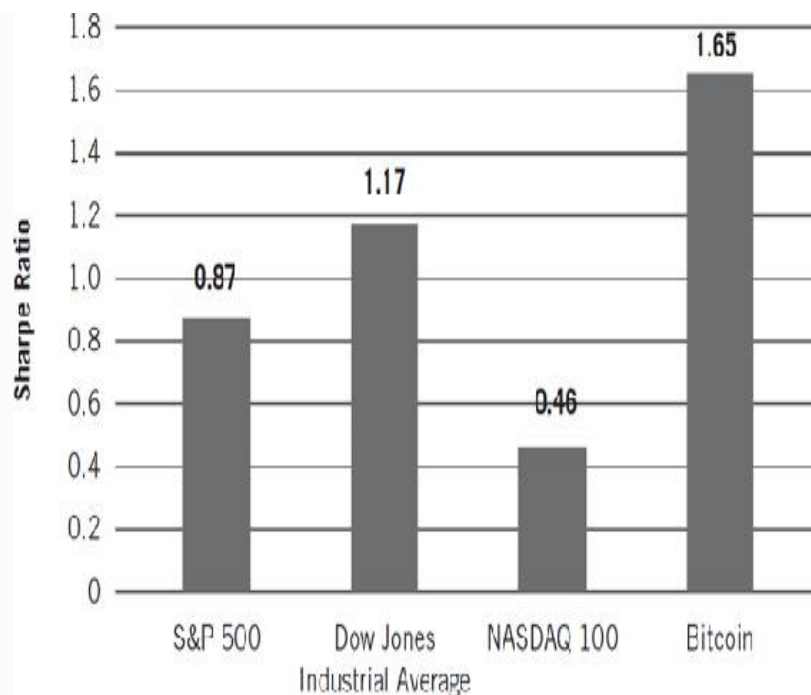


Figure 7.18 ■ Bitcoin's Sharpe ratio compared to major U.S. stock indices in 2016
Data sourced from Bloomberg and CoinDesk

Some people are apt to think that the best years to be a bitcoin investor are past. However, looking at the Sharpe Ratio, 2016 had risk-adjusted returns that were as good as those of an investor who bought bitcoin when the mainstream first had the opportunity to do so.

CORRELATION

Diversification is accomplished by selecting a variety of assets that have low to negative correlation with one another. A group of stocks is inherently more diversified than a single stock, and therefore the volatility should be lower.

Cryptoassets have near-zero correlation to other capital market assets. The best explanation for this is that cryptoassets